

Solution Key

Labour Economics MT2

Multiple Choice Solutions with Explanations

1. B

A monopolist faces marginal revenue below price, so labour demand is based on marginal revenue product (MRP), which is less elastic.

2.A

Economic Intuition

Economic rent is defined as the difference between the wage a worker receives and the worker's **reservation wage** (the minimum wage required to induce them to work).

$$\text{Economic Rent} = W - W^R$$

where:

- W = actual wage
- W^R = reservation wage

If workers are earning economic rents, then:

- They are being paid **more than necessary** to keep them employed.
- A reduction in wages **will not immediately reduce employment**.
- Workers will continue working as long as:

$$W \geq W^R$$

Why Answer A is Correct

Answer A reflects the idea that:

A firm can reduce wages **without losing workers**, as long as wages remain above the reservation wage.

This is the defining property of economic rents:

- Firms have some flexibility to lower wages.
- Workers do not leave immediately because they are still better off than their next best alternative.

Why Answer D is Incorrect

Answer D states that workers would leave if wages are reduced. This is incorrect because:

- Workers only leave when:

$$W < W^R$$

- A small wage reduction **within the rent margin** does not trigger exit.

Thus, Answer D ignores the key concept of a **reservation wage threshold**.

Conclusion

Economic rents imply that wages can fall without reducing employment, as long as $W \geq W^R$.

Therefore, **Answer A is correct**.

2. **B**

In monopsony, marginal cost of labour exceeds the wage due to upward-sloping supply.

3. **A**

Industry labour supply is generally upward sloping because higher wages attract more workers.

4. **A**

A payroll tax raises labour costs and reduces employment.

5. **C**

Tax incidence depends on relative elasticities, so the burden is shared.

6. **D**

Elasticity is percentage change in labour demand over percentage change in wages.

7. **E**
Isoprofit curves are concave due to diminishing marginal returns to safety investment.
8. **D**
Efficiency wages operate through morale, effort, and turnover—not directly through safety.
9. **B**
Indifference curves reflect diminishing marginal rate of substitution.
10. **A**
More risk-averse workers require higher compensating differentials.
11. **A**
Higher isoprofit curves represent lower profits.
12. **B**
The wage-safety locus shows the trade-off between wages and job risk.
13. **E**
Adam Smith introduced compensating wage differentials.
14. **B**
Doctors respond to incentives; wage differentials can induce relocation.
15. **D**
Competitive equilibrium assumes perfect information and mobility.
16. **A**
Risk-averse workers match with safer firms.
17. **E**
Uber drivers accept lower wages for flexibility.
18. **B**
Differentials compensate for job characteristics, not utility directly.
19. **D**
Signalling theory focuses on screening rather than productivity.
20. **B**
Human capital increases productivity and earnings.
21. **C**
Opportunity cost is forgone earnings while studying.
22. **C**
Private costs/benefits accrue to the individual.

23. **E**
All statements describe age-earnings profiles correctly.
24. **E**
With perfect capital markets, individuals do not rely solely on current income.
25. **A**
Optimal schooling equates marginal benefit and marginal cost.
26. **A**
Imperfect information exists when key variables are unknown.
27. **C**
Earnings rise until mid-career, then decline.
28. **A**
 $PV \approx \frac{Y}{r}$ applies to long-term income streams.
29. **B**
Monopsony equilibrium: $MCL = VMP \Rightarrow (W_M, N_M)$.
30. **C**
Competitive equilibrium: labour supply equals labour demand.
31. **A**
Monopsonist sets optimal employment directly, so no vacancies.
32. **A**
Area d represents direct schooling costs.
33. **D**
Area e is the earnings premium from higher education.
34. **E**
Areas $b + c + d$ represent total education costs.

Final Answer Summary

1. B 2. D 3. B 4. A 5. A
 6. C 7. D 8. E 9. D 10. B
 11. A 12. A 13. B 14. E 15. B
 16. D 17. A 18. E 19. B 20. D
 21. B 22. C 23. C 24. E 25. E
 26. A 27. A 28. C 29. A
 30. B 31. C 32. A 33. A 34. D 35. E